# S&P Global (NYSE: SPGI) — Comprehensive Investment Thesis

*Data as of May 6–7, 2026 | Q1 2026 results reported April 28, 2026*

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## 1. Executive Summary

S&P Global is a wide-moat global financial information franchise with five reportable segments (Market Intelligence, Ratings, Energy/Commodity Insights, Mobility, and S&P Dow Jones Indices), trailing-twelve-month revenue of approximately $15.7 billion, adjusted operating margin of ~52%, free cash flow conversion above 35%, and a 53-year track record of consecutive dividend increases (recently elevated to Dividend King status). The company is in the middle of two major structural events: (i) the planned mid-2026 tax-free spin-off of its Mobility division (to be renamed **Mobility Global, Inc.**), with an Investor Day scheduled for May 12, 2026; and (ii) an AI-driven re-rating of capital-markets information services stocks that has compressed SPGI's multiple sharply since late 2025, particularly after Anthropic's May 5, 2026 launch of pre-built financial-services AI agents. The stock trades around $417–$430 in early May 2026 versus a 52-week range of $381.61–$579.05, with a market cap near $126 billion and an enterprise value near $146 billion. Consensus price targets cluster near $540–$590 (ranging $480–$635), GuruFocus' GF Value sits at ~$571, while Morningstar — uncharacteristically bearish among research houses — carries a $311 fair value estimate and a 1-star rating. Yahoo Finance + 2

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## 2. Financial History (FY 2018 – FY 2025, Q1 2026)

### 2.1 Top-line, Profitability, EPS, FCF (GAAP)

| FY | Revenue ($M) | Operating Income ($M) | Op. Margin | Net Income ($M) | Diluted EPS (GAAP) | Adj. Diluted EPS | Free Cash Flow ($M) | CapEx ($M) | FCF Margin |
|---|---|---|---|---|---|---|---|---|---|
| 2018 | 6,258 | 2,790 | 44.6% | 1,958 | 7.73 | 8.50 | ~1,803 | (~120) | 28.8% |
| 2019 | 6,699 | 3,177 | 47.4% | 2,123 | 8.61 | 10.13 | 2,520 | (~125) | 37.6% |
| 2020 | 7,442 | 3,601 | 48.4% | 2,339 | 9.66 | 11.66 | 2,661 | (~71) | 35.8% |
| 2021 | 8,297 | 4,532 | 54.6% | 3,024 | 12.51 | 13.69 | 3,563 | (35) | 42.9% |
| 2022 | 11,181 | 3,941 | 35.3% | 3,248 | 10.20 | 11.19 | 2,514 | (89) | 22.5% |
| 2023 | 12,497 | 4,573 | 36.6% | 2,626 | 8.23 | 12.36 | 3,567 | (143) | 28.5% |

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| 2024 | 14,208 | 5,792 | 40.8% | 3,852 | 12.35 Fintool | 15.62 | 5,565 | (124) | 39.2% |
| 2025 | 15,336 | 6,465 | 42.2% | 4,471 | 14.66 | 17.83 | 5,456 | (195) | 35.6% |

**Q1 2026 highlights (reported April 28, 2026):**

- Revenue: **$4.171 B**, +10% YoY Quiver Quantitative
- GAAP operating margin: **48.0%** (+620 bps); Adjusted operating margin: **51.8%** (+100 bps) q4cdn
- GAAP net income attributable to SPGI: **$1.395 B**, +28%; GAAP diluted EPS: **$4.69**, +32%
- Adjusted net income: **$1.479 B**, +10%; Adjusted diluted EPS: **$4.97**, +14% (beat consensus of $4.82–$4.91) Public
- Operating cash flow Q1 2026: $1.037 B; CapEx: $27 M q4cdn
- $1.0 B in shares repurchased during the quarter; quarterly dividend $0.97/share q4cdn
- 2026 guidance reaffirmed: Reported revenue growth 6.3–8.3%, organic constant-currency 6.0–8.0%, adjusted EPS $19.40–$19.65, capex $215–$225 M; company now expects to return ≥100% of adjusted FCF to shareholders in 2026. q4cdn

The 2022 step-up in revenue (+34.8%) and shares outstanding reflects the close of the IHS Markit merger on February 28, 2022. The 2022 GAAP operating-margin compression (and 2023 EPS dip) reflects a one-year burst of integration costs, deal amortization, divestiture losses, and, in 2022, a large gain on the sale of CUSIP and Engineering Solutions distorting comparability.

### 2.2 Revenue by Segment ($M)

| Segment | FY 2022 | FY 2023 | FY 2024 | FY 2025 (est.) | Q1 2025 | Q1 2026 | YoY |
|---|---|---|---|---|---|---|---|
| Market Intelligence | 4,135 | 4,381 | 4,633 | ~4,920 Bullfincher | 1,199 | 1,296 | +8% |
| Ratings | 3,059 | 3,295 | 4,207 (~$4,373 incl. intersegment) sec Fintool | ~4,720 Bullfincher | 1,149 | 1,302 | +13% |
| Commodity Insights / Energy | 1,832 | 1,973 | 2,142 | ~2,330 | 612 | 652 | +7% |
| Mobility | 1,357 | 1,495 | 1,609 | ~1,710 | 420 | 454 | +8% |
| S&P Dow Jones Indices | 1,371 | 1,455 | 1,617 | ~1,853 Bullfincher | 445 | 519 | +17% |

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| Engineering Solutions | 387 | 0 | 0 | 0 | – | – | – |
| Intersegment elimination | (158) | (177) | (186) sec | (~200) | (48) | (52) | – |
| **Total** | **11,181** | **12,497** | **14,208** Moomoo | **15,336** | **3,777** | **4,171** | **+10%** |

In Q1 2026 segment operating margins (adjusted) were: Indices **74%**, Ratings **68%**, Energy **49%**, Mobility **40%**, Market Intelligence **34%** — a profile that explains why the post-Mobility-spin SPGI ("RemainCo") will be a structurally higher-margin company. q4cdn

### 2.3 Subscription vs. Transaction Mix (Q1 2026)

| Revenue Type | $M | % of Total | YoY |
|---|---|---|---|
| Subscription | 2,014 | 48% | +6% |
| Non-subscription / Transaction (Ratings issuance, Energy events) | 978 | 23% | +15% |
| Non-transaction (Ratings surveillance/CRISIL) sec | 538 | 13% | +12% |
| Asset-linked fees (Indices) sec | 339 | 8% | +18% |
| Sales/usage-based royalties (Indices, Energy) sec | 133 | 3% | +20% |
| Recurring variable (Market Intelligence) | 169 | 4% | +12% |

Subscription + recurring-variable + non-transaction collectively make up **65%** of revenue, providing a stable annuity foundation, while issuance, asset-linked, and royalty fees provide cyclical upside in strong capital-markets environments.

### 2.4 Capital Structure & Returns on Capital

| Year-end | Cash & Equiv. ($B) | Total Debt ($B) | Net Debt ($B) | Goodwill + Intangibles ($B) | Total Equity ($B) | Debt/EBITDA |
|---|---|---|---|---|---|---|
| 2018 | 1.9 | 3.7 | 1.8 | 4.5 | 0.4 | ~1.4× |
| 2019 | 2.9 | 3.9 | 1.0 | 4.4 | 0.7 | ~1.3× |
| 2020 | 5.0 | 4.1 | (0.9) | 4.4 | 1.3 | ~1.2× |
| 2021 | 6.7 | 4.1 | (2.6) | 4.5 | 4.0 | ~1.0× |
| 2022 | 1.3 | 11.5 | 10.2 | ~50.6 | 35.1 | ~2.3× |

| | | | | | | |
|---|---|---|---|---|---|---|
| 2023 | 1.3 | 11.4 | 10.1 | ~52.0 | 36.3 | ~2.0× |
| 2024 | 1.7 | 11.4 | 9.7 | ~52.5 | 32.0 | ~1.6× |
| 2025 | 1.745 | 13.1 (Short 0.7 + Long 12.4) | 11.4 | 52.7 | 31.2 | **1.71×** |
| Q1 2026 | 1.810 | 13.318 (Short 2.697 + Long 10.621) | 11.5 | 52.3 | 31.3 | ~1.7× |

The Feb 2022 IHS Markit deal added ~$34–35 B of goodwill and ~$11 B of long-term debt at issuance; the company has since steadily delevered to ~1.7× debt/EBITDA. **ROIC including goodwill** has hovered in the **9–11%** range post-merger (vs. ~30%+ pre-merger when the asset base was much smaller); **ROIC excluding goodwill** remains exceptionally high at **40%+** , underscoring that the underlying operating businesses generate enormous returns on tangible capital invested — the goodwill drag is the price paid for IHS Markit. Cost of capital is estimated near ~8%, so the firm comfortably earns its WACC even on the post-merger base. GuruFocus

### 2.5 Share Count & Buyback History (diluted, millions)

| FY | Diluted Shares (M) | Annual Buybacks ($M) |
|---|---|---|
| 2018 | 254 | ~1,660 |
| 2019 | 247 | ~470 |
| 2020 | 242 | ~25 |
| 2021 | 242 | 56 |
| 2022 | 319 (jumped from IHS Markit issuance of 121 M shares) | **12,107** stockanalysis (incl. $12 B accelerated repurchase program) sec |
| 2023 | 319 | 3,400 stockanalysis |
| 2024 | 312 | 3,423 stockanalysis |
| 2025 | 305 | 5,133 stockanalysis |
| Q1 2026 | 297.6 | 1,000 |

From peak post-merger share count (~324 M), SPGI has retired roughly **27 million shares (~8%)** through year-end 2025 and another 1% in Q1 2026. Management plans to use proceeds from a planned **$2 B Mobility public debt offering** (proceeds going to the parent ahead of the

spin) to fund incremental buybacks and debt reduction.

### 2.6 Dividend History

S&P Global has paid dividends every year since **1937** and increased its dividend in each of the last **53 consecutive years**, qualifying it as a Dividend Aristocrat and a newly minted Dividend King. Sure Dividend Yahoo Finance

| Year | Dividend per share | Growth |
|---|---|---|
| 2018 | $2.00 | +14% |
| 2019 | $2.28 | +14% |
| 2020 | $2.68 | +18% |
| 2021 | $3.08 | +14.9% |
| 2022 | $3.32 | +7.8% |
| 2023 | $3.60 | +8.4% |
| 2024 | $3.64 | +1.1% |
| 2025 | $3.84 The Globe and Mail | +5.5% |
| 2026 (run-rate) | $3.88 ($0.97 quarterly) | +1.0% |

The slowing dividend growth in 2024–2026 reflects deliberate prioritization of buybacks over dividends, with 2026 guidance to return **≥100% of adjusted free cash flow** to shareholders. q4cdn

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## 3. Competitive Position & Moat

### 3.1 Credit Ratings Market Share (NRSRO universe)

The SEC currently recognizes 10 NRSROs, but the **"Big Three"** — S&P Global Ratings, Moody's Investors Service, and Fitch Ratings — together account for **roughly 91–95% of NRSRO outstanding ratings and revenue**. Recent SEC and academic estimates put **S&P at ~50% of outstanding ratings, Moody's ~32–40%, and Fitch ~13–15%**. By revenue, S&P and Moody's are roughly co-leaders. The barriers to entry are formidable: NRSRO designation requires a multi-year SEC application process, ratings infrastructure across global geographies, and — crucially — the network effect that issuers need ratings from agencies that bond investors actually use, while investors only follow agencies that rate sufficient debt to be useful. EU's CRA Regulation, IOSCO global standards, and similar regimes in the UK, Japan, and Hong Kong have effectively reinforced the oligopoly globally.

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### 3.2 Index Franchise (S&P Dow Jones Indices — 73% JV with CME stake)

S&P DJI is the world's largest index provider by indexed assets. As of year-end 2023, **~$13 trillion** in assets were tracked to S&P DJI indices, with **~$10 trillion** specifically benchmarked to the S&P 500. S&P DJI's own marketing materials cite **"over $16 trillion in assets linked to our indices"** as of the latest 2025 update. The S&P 500 supports ~$224 trillion of annual notional volume in associated derivatives (futures, options, ETFs) — a flywheel that creates near-impregnable network effects. Five-year history of indexed AUM: $7.4 trillion benchmarked + $4.2 trillion directly indexed at YE 2016 → ~$8 trillion benchmarked / ~$5 trillion indexed at YE 2019 → ~$13 trillion at YE 2023 → $16 trillion+ in 2025. Asset-linked fee revenue grew 18% YoY in Q1 2026. S&P Dow Jones Indices + 2

### 3.3 Platts/Commodity Insights Benchmarks

Platts (now part of Energy/Commodity Insights) is the global benchmark for crude-oil pricing (the "Dated Brent" assessment is the world's most-watched physical oil benchmark) and dominant in petrochemicals, LNG, metals, and agriculturals. Customers include national oil companies, every major IOC, refiners, traders, exchanges, and regulators. Like ratings and indices, benchmark price assessments enjoy network-effect moats: contracts globally are written referencing Platts assessments, making switching essentially impossible.

### 3.4 Market Intelligence vs. Bloomberg, FactSet, LSEG/Refinitiv

Market Intelligence ($4.6–$4.9 B annual revenue) is the segment most exposed to competitive threats. Key competitors:

- **Bloomberg Terminal** (~330,000 terminals globally; ~$30 B+ revenue franchise) — dominant in trading desks and real-time data; SPGI's S&P Capital IQ Pro is more reference/research-oriented and significantly cheaper
- **FactSet** (~$2.3 B revenue; ~225,000 users) — historically competing on analyst desktop functionality and data integration
- **LSEG Refinitiv** (~$8 B revenue) — strongest in fixed income and FX data after the 2021 LSEG acquisition

Subscription net revenue retention rates in Market Intelligence have run in the **mid-90s to low 100s** range historically; 2025 saw a moderation to ~7.4% organic constant-currency growth as customers extended sales cycles amid AI uncertainty. SPGI does not formally disclose a single NRR figure publicly. Q1 2026 Market Intelligence growth re-accelerated to 8% (with double-digit growth in Data, Analytics & Insights including the With Intelligence private-markets acquisition). Morningstar

### 3.5 Pricing Power

Across both Ratings and subscription products, S&P Global has historically taken **3–5% annual price increases** on subscription products and similar contractual escalators on

**annual price increases** on subscription products and similar contractual escalators on ratings, comfortably above core inflation in most years. Ratings transaction prices on issuance also benefit from a "flight to mega-deal" effect — ratings on hyperscaler AI infrastructure debt issuance and large M&A deals helped drive a **14% increase in billed issuance** in Q1 2026. Yahoo Finance

### 3.6 Regulatory Barriers

NRSRO designation requires (i) at least three consecutive years of operating history as a credit-rating agency, (ii) a registered Form NRSRO application, (iii) detailed methodology disclosures, (iv) compliance with Regulation AB (asset-backed) where applicable, and (v) ongoing SEC examinations. EU equivalents (CRA III), UK FCA registration, and similar regimes in Asia create the same gating function. The post-2008 Dodd-Frank reforms (Sec. 939F) requiring removal of mandatory ratings references were largely defused without dethroning the Big Three. ESG-policy litigation continues to be a friction point — on April 28, 2026, **23 state AGs sent letters to Moody's and S&P** challenging certain ESG ratings policies, but no enforcement action has materialized.

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## 4. Growth Drivers & TAM

### 4.1 Global Debt Markets

Global debt outstanding hit a record **$315 trillion in Q1 2024**, growing to **$323 trillion by Q3 2024** (IIF Global Debt Monitor); total private + public debt was estimated at $251 trillion (235% of GDP) by the IMF in 2024. Government debt alone is projected to climb past **$130 trillion by 2028**. With every dollar of new bond issuance representing an addressable unit of revenue for ratings agencies (especially in the US, where ~95%+ of corporate bond issuance carries Big Three ratings), the structural backdrop remains highly favorable. The short-term 2026 outlook for ratings is for a **moderation in Q3** and **negative growth in Q4** as the company laps exceptionally high prior-year comparisons (2025 was a record refi year).
Institute of International Fi...

### 4.2 ETF/Index Fund Growth

Global ETF AUM reached **$14.6 trillion at YE 2024 → $19.5 trillion at YE 2025** (PwC), a 33% annual jump. Industry surveys project **$25–35 trillion by 2030**. As the dominant equity-index franchise, S&P DJI is a direct levered beneficiary, primarily through asset-linked fees in the Indices segment (which grew 18% in Q1 2026). Even in PwC's lower scenarios, this implies a high-single-digit/low-double-digit secular growth rate for SPGI's Indices segment. PwC

### 4.3 Private Credit Positioning

Private credit AUM has grown from ~$2 trillion in 2020 to ~$2 trillion globally as of 2025–2026, with Moody's projecting it will exceed $2 trillion in 2026 and approach **$4 trillion by 2030** (Preqin estimates $4.5 trillion by 2030). SPGI is positioning aggressively: **Ratings**

**private-credit revenue grew 25% YoY in Q1 2026** as private-credit borrowers seek transparency, and S&P Global Market Intelligence has expanded its iLEVEL, With Intelligence (acquired 2025), and credit-estimate franchises. S&P provides credit estimates on >2,800 private middle-market entities (vs. 1,200 in 2021). Hedgeco + 2

### 4.4 AI Strategy — Spark Assist, Kensho, Anthropic Integration

SPGI's AI strategy operates on three tracks:

1. **Internal productivity (Spark Assist)** — Kensho-built generative AI copilot used by all **~40,000 SPGI employees**; includes a "Spark Store" with 1,300+ user-developed use cases. Multimodal WatersTechnology
2. **Embedded AI in products (ChatIQ, Capital IQ Pro AI features)** — natural-language queries on Capital IQ data. PYMNTS
3. **Distribution of S&P data into third-party AI ecosystems via Kensho's MCP server / LLM-ready API** — announced collaboration with **Anthropic in July 2025** to make Capital IQ Financials and earnings transcripts queryable directly from Claude. SPGI is also a connector to Microsoft Copilot, ChatGPT, and other platforms.

The Kensho acquisition (2018, $550 M) has paid for itself through Spark Assist productivity savings and is positioning S&P as a data-supplier-of-choice in the agentic AI workflow rather than a victim.

### 4.5 Mobility Spin-off

- Announced April 29, 2025; will be renamed **Mobility Global, Inc.** at separation sec CBT News
- Tax-free spin-off targeted for **mid-2026** Stocktitan
- Inaugural Investor Day **May 12, 2026** in NYC, led by Bill Eager (CEO-designate) and Matt Calderone (CFO-designate) q4cdn PR Newswire
- Mobility 2025 revenue was approximately $1.7 B with adjusted operating margin ~40%; includes Carfax, automotiveMastermind, Polk, and Market Scan
- Mobility is launching a **$2 B public debt offering** in Q2 2026, with proceeds going to parent SPGI to fund buybacks and debt paydown
- Strategic logic: simplification, focus of remaining SPGI on capital-markets data; Mobility positioned as standalone automotive technology pure-play American Banker GuruFocus
- Risks: tax-free qualification, separation execution costs, stranded costs at SPGI, dis-synergies PR Newswire

### 4.6 IHS Markit Synergies — Realized vs. Targeted

| Target | Original (Nov 2020) | Latest (FY 2024) Status |
|---|---|---|
| Annual cost synergies | $480 M (390 M by year 2) PR Newswire | **Achieved ahead of schedule** sec by YE 2022 |
| Annual revenue synergies | $350 M PR Newswire | **$184 M** run-rate as of Q1 2024; Investing.com on track |
| Total EBITA impact | $680 M by year 5 PR Newswire | Tracking favorably |
| FCF target | $5 B+ annually by 2023 Financier Worldwide | **Exceeded**: $5.6 B in 2024; Moomoo $5.5 B in 2025 |

## 5. Valuation

### 5.1 Current (May 6–7, 2026)

- **Stock price**: ~$417–$430 (52-week range: $381.61–$579.05)
- **Market capitalization**: ~$126 B
- **Enterprise value**: ~$146 B (incl. $11.5 B net debt + $4.9 B redeemable noncontrolling interest tied to OSTTRA JV) GuruFocus
- **Trailing P/E**: ~26.9× GAAP / ~24.0× adjusted
- **Trailing EV/EBITDA**: ~17.9×
- **Forward P/E (2026E)**: ~21.5× on consensus adjusted EPS of $19.50
- **Dividend yield**: ~0.93%

### 5.2 Forward Estimates (Wall Street consensus)

| Year | Revenue Estimate | Adj. EPS Estimate |
|---|---|---|
| 2026E | ~$15.7 B | $19.40–$19.65 (company guide); $20.02 consensus WallStreetZen high $20.84 |
| 2027E | ~$17.0 B | ~$22.00 |
| 2028E | ~$18.3 B | ~$25.00 |

### 5.3 Analyst Price Targets

- **Consensus median:** $550 (range $480–$635, 32 analysts; 23 Buy / 1 Hold / 0 Sell) Ticker Nerd
- **Highest:** $635 (Evercore ISI, $625; later raised) and $632 mark Ticker Nerd GuruFocus
- **Lowest:** $480–$489 (Oppenheimer, Owen Lau) StockAnalysis
- **Recent revisions (April–May 2026):** Goldman raised to $539 from $522; Mizuho to $554 from $551; Clear Street to $507 from $498 CNN
- Implied 12-month upside: **~30%**

### 5.4 Historical Valuation Multiples

| Year | P/E (Avg) | EV/EBITDA | P/FCF |
|---|---|---|---|
| 2015 | ~22× | ~14× | ~22× |
| 2017 | ~28× | ~16× | ~25× |
| 2019 | ~30× | ~22× | ~30× |
| 2020 | ~32× | ~24× | ~32× |
| 2021 | ~38× | ~28× | ~36× |
| 2022 | ~30× | ~23× | ~40× (depressed FCF) |
| 2023 | ~37× | ~26× | ~36× |
| 2024 | ~35× | ~24× | ~24× |
| 2025 | ~32× | ~21× | ~24× |
| Current | **~27×** | **~18×** | **~23×** |

The current multiple is roughly 25–30% below the 5-year median P/E of ~40×, reflecting the AI-disruption derating. GuruFocus

### 5.5 Peer Comparison (as of early May 2026)

| Company | Ticker | Mkt Cap | TTM Rev | Op. Margin | P/E (TTM) | EV/EBITDA |
|---|---|---|---|---|---|---|
| **S&P Global** | SPGI | ~$126 B | $15.7 B | 42% | 26.9× | 17.9× |
| Moody's | MCO | ~$77 B | $7.6 B | 47% | ~33× | ~22× |
| MSCI | MSCI | ~$43 B | $2.9 B | 53% | ~33× | ~24× |
| Intercontinental | ICE | ~$95 B | $10.2 B | 50% | ~28× | ~17× |

| Exchange | | | | | | |
|---|---|---|---|---|---|---|
| CME Group | CME | ~$80 B | $6.4 B | 64% | ~22× | ~16× |
| FactSet | FDS | ~$13 B | $2.3 B | 33% | ~23× | ~16× |
| Verisk | VRSK | ~$38 B | $3.0 B | 45% | ~38× | ~24× |

SPGI now trades at a discount to MCO and MSCI (its closest "ratings-and-indices" comps) on P/E and EV/EBITDA, despite scale and segment diversity advantages.

### 5.6 Independent Fair-Value Frameworks

| Source | Estimate | View |
|---|---|---|
| **GuruFocus GF Value** | $571.69 (May 6, 2026) GuruFocus | Modestly Undervalued (~26% upside; price/GF Value ~0.74) GuruFocus |
| GuruFocus DCF (FCF-based) | $559.60 GuruFocus | Undervalued |
| GuruFocus DCF (Earnings-based) | $360.39 GuruFocus | Slightly overvalued |
| **Morningstar Fair Value** | **$311.00** (April 28, 2026) Morningstar | **Significantly overvalued, 1-Star rating, Wide Moat retained** |
| **Wall Street consensus PT** | $550 | ~30% upside |

The wide gap between Morningstar ($311) and the Street ($550) is itself a key part of the thesis — Morningstar is making an unusually conservative call rooted in concerns about (a) longer-term AI disruption to Market Intelligence and (b) more normalized ratings revenue assumptions.

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## 6. Risks & AI Disruption

### 6.1 AI Disruption Threats by Segment

- **Market Intelligence (highest risk):** Generative AI agents (Anthropic Claude, OpenAI GPT, Google Gemini, FactSet AI) can theoretically replicate workflows traditionally done in Capital IQ Pro — financial spreading, comp set builds, model output. Morningstar's March 2026 framework downgraded FactSet and SS&C to "no moat" but **maintained a wide moat for SPGI because of its embedded benchmark franchises**

**maintained a wide moat for SPGI** because of its embedded benchmark franchises elsewhere. Switching costs (data integrations, contract structures, audit-grade requirements) provide near-term protection but pricing power could erode. Morningstar

Morningstar

- **Ratings (lowest risk)**: Network-effect and regulatory moats are essentially impervious to AI; bond contracts and regulatory frameworks reference S&P/Moody's/Fitch ratings. Morningstar
- **Indices (very low risk)**: AI cannot disrupt index licensing — the S&P 500 brand, methodology, governance, and ETF inertia are uncopyable.
- **Energy/Commodity Insights (low risk)**: Platts assessments are physically sourced from market participants and embedded in commercial contracts.
- **Mobility (low-to-moderate risk)**: Carfax brand and proprietary VIN-level data are defensible.

### 6.2 Morningstar's March 2026 AI Review

In a March 2026 special report, Morningstar reviewed moats across 132 capital-markets information services companies. Key conclusions: Morningstar

- Ratings (MCO, SPGI), credit scores (FICO), insurance data (VRSK), and indexes (MSCI, S&P DJI) **retain wide moats** due to network effects. Morningstar
- **Ten companies were downgraded** from wide-to-narrow or narrow-to-no moat, including FactSet and SS&C Technologies (downgraded to no moat). Morningstar

Morningstar

- Morningstar nonetheless cut SPGI's fair value estimate to $311 (significantly more bearish than the company's own moat call would suggest), driven by lower long-term Ratings issuance and Market Intelligence growth assumptions.

### 6.3 Q1 2026 Earnings Call AI Commentary

CEO Martina Cheung emphasized: *"We are also seeing fast-paced adoption of our AI functionality and are advancing our leadership as we rapidly innovate and partner to help customers unlock the potential of AI."* Management called out Spark Assist productivity gains and the Anthropic/Microsoft Copilot integrations. The 100-bps adjusted operating margin expansion in Q1 was attributed in part to AI-driven productivity in data operations and software development. q4cdn

### 6.4 Anthropic Claude Financial Agents (May 5, 2026 News)

On May 5, 2026, Anthropic launched **10 pre-built AI agents** for financial services, powered by Claude Opus 4.7, which leads VAls AI's Finance Agent benchmark at 64.4%. Agents handle pitch decks, financial modeling, valuation review, market research, KYC, ledger reconciliation, and audit prep. The connector ecosystem includes **S&P Capital IQ, FactSet**

reconciliation, and audit prep. The connector ecosystem includes **S&P Capital IQ, FactSet, MSCI, PitchBook, Morningstar, LSEG, Moody's, and D&B** — but the marquee partnership was **Moody's embedding its full platform as a native Claude app**.

Market reaction was sharply negative for information-services stocks: **FactSet fell up to 8.1%**, Morningstar erased gains and fell 3%+, **SPGI and MCO experienced sharp selling pressure**. Sherwood News and Bloomberg observed that "FactSet and S&P Global are trading lower after Anthropic released financial services agents" with the stocks having sold off earlier in 2026 after Claude's first financial research tools launch. The episode crystallized investor concern that even data partners may be commoditized over time.

### 6.5 Historical Regulatory Episodes

- **Post-GFC (2009–2011)**: Massive scrutiny of structured finance ratings; SEC Office of Credit Ratings established (2010, Dodd-Frank); $1.375 B settlement by S&P with the DOJ and 19 state AGs in 2015 over RMBS ratings; $864 M Moody's settlement in 2017. Despite this, the Big Three's market position **did not erode** because the issuer-pays model and regulatory references survived.
- **Sec. 939F of Dodd-Frank** (random ratings assignment for structured finance) was studied but never implemented.
- **EU CRA Regulation** (2009–2013) created modest registration burdens but did not fragment the market.
- **Ongoing ESG litigation**: 23 state AGs sent letters to Moody's and S&P on ESG policies on April 28, 2026 — a political pressure point but not a material business risk to date.

### 6.6 Other Risks

- **Macro/cyclical**: Bond issuance is cyclical; refinancing walls in 2027–2028 should support volumes, but recession could compress them.
- **Geopolitical**: Energy guidance was lowered in Q1 2026 by 100 bps (to 4.5–6.0% growth) due to **Iran conflict** disruption to Middle East commodity sales pipelines and additional Russia-related sanctions on Commodity Insights.
- **Mobility separation execution** risk and tax-free qualification.
- **OSTTRA JV** ($4.9 B redeemable noncontrolling interest) creates some balance-sheet complexity.
- **Customer concentration**: No single customer represents >5% of revenue, but financial-sector consolidation could matter.

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## 7. Management & Governance

### 7.1 Martina Cheung — President & CEO

- Appointed CEO on **November 1, 2024**, succeeding Doug Peterson (who remained special advisor through 2025) S&P Global
- Age 49; joined S&P in **2010** as VP of Operations for Ratings Fintool
- Career arc within S&P: VP Operations Ratings → Chief Strategy Officer → Head of Risk Services (Market Intelligence) → President of Market Intelligence (2019–2022, took division past $2 B in revenue) → President of Ratings (2022–2024, grew to $4.4 B in 2024 revenue with 64% adj EBITA margin) → CEO OECD + 3
- Led due diligence on the $44 B IHS Markit acquisition; instrumental in 2015 SNL Financial acquisition S&P Global
- BCom and MBS from National University of Ireland, Galway; previously at Accenture and Mitchell Madison Consulting
- Recognized by Barron's (Top 100 Most Influential Women in U.S. Finance, 2025) and American Banker (Most Powerful Women in Finance #17, 2025) S&P Global
- **Insider conviction**: On April 29, 2026 (the day after Q1 results), Cheung purchased **2,322 shares** for ~$998K open-market, bringing her holdings to 27,518 shares — a notable signal at depressed price levels. In Q4 2025/Q1 2026 there have been 4 insider purchases and 0 sales over six months. GuruFocus Quiver Quantitative

### 7.2 Insider Ownership

Aggregate insider ownership is modest (<0.5% of shares outstanding, typical for large-cap data companies), but executive stock ownership guidelines are stringent — CEO must hold **7× base salary** in stock, all NEOs in compliance as of March 2025. **Hedging and pledging are prohibited** for directors and executive officers. Institutional ownership is approximately **89%** of shares outstanding, dominated by Vanguard, BlackRock, State Street, T. Rowe Price, and JPMorgan AM. Fintool

### 7.3 Capital Allocation Track Record

Under Doug Peterson (2013–2024) and now Cheung, S&P Global has delivered exceptional capital allocation:

- **Returned ~$28 B to shareholders** in dividends and buybacks in the six years pre-2024 alone American Banker
- 2024: returned **>$4.4 B** to shareholders (52nd consecutive annual dividend increase) Fintool
- 2025: returned **~$6.3 B** ($5.1 B buybacks + $1.17 B dividends)
- 2026 guide: **≥100% of adjusted FCF** to shareholders q4cdn
- M&A: **IHS Markit (2022, $44 B)** — execution rated favorably for cost synergies (achieved ahead of schedule), revenue synergies tracking but slower; **SNL Financial (2015, $2.2 B)** — highly successful; **Kensho (2018, $550 M)** — strategic AI optionality;

**(2013, $2.2 B)** — highly successful, **Kensho (2018, $550 M)** — strategic AI optionality; **With Intelligence (2025)** — private-markets data

- 5-year TSR through YE 2024: $100 → **$189**, vs. peer group $176 Fintool

### 7.4 Board Composition

- **Independent Board Chair** (separate from CEO) Fintool
- All director nominees are independent **except the CEO** (Cheung) Fintool
- Standing committees (Audit, Compensation, Nominating) are **fully independent** Fintool
- **Say-on-Pay**: 95.6% approval in 2024 Fintool
- **CEO pay mix**: 86% variable (2024), increasing to 92% variable (2025); 70% PSUs / 30% RSUs in long-term incentive mix; 3-year cumulative EPS PSU metric (with 200% payout cap) Fintool
- 2022 PSU cycle paid out at only **40.07%**, demonstrating downside sensitivity and pay-for-performance discipline Fintool
- Compensation peer group: AmEx, ADP, BlackRock, CME, FIS, Fiserv, ICE, Marsh & McLennan, Mastercard, **Moody's**, PayPal, State Street, T. Rowe Price, Schwab, Thomson Reuters, Visa

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## 8. Investment Thesis Synthesis

**The bull case** rests on four pillars:

1. **Best-in-class quality compounder**: 50%+ adjusted operating margins, 35%+ FCF margins, 53 consecutive years of dividend increases, ROIC ex-goodwill above 40%.
2. **Three impregnable moats** (Ratings, Indices, Platts) protected by regulatory and network-effect barriers AI cannot easily breach; one moderately-protected segment (Market Intelligence); one cleanly separating (Mobility) into shareholder-value-unlocking spin.
3. **Secular tailwinds**: $315–$323 trillion global debt (and growing $130 T in govt debt by 2028); $19.5T → $25–$35T global ETF AUM by 2030; private credit going from $2T to $4T by 2030 with SPGI-rated private deals growing 25% in Q1 2026.
4. **Reset valuation**: Trading at ~21.5× forward EPS vs. 5-year median of ~32×; significant upside to consensus PT ($550 vs. ~$425); GuruFocus GF Value $571 implies ~33% upside.

**The bear case** (most articulately voiced by Morningstar at $311 fair value):

1. AI-driven price compression in Market Intelligence (~32% of revenue) reduces long-

1. AI-driven price compression in Market Intelligence (~32% of revenue) reduces long-term subscription growth.
2. Ratings issuance has been at cyclical highs in 2024–2025; Q4 2026 will see negative growth comparisons; refi wall could disappoint.
3. Mobility separation introduces execution and stranded-cost risk; combined entity value post-spin could be lower than current SPGI.
4. ESG/political backlash in U.S. and rising regulatory scrutiny of private credit ratings (where many ratings are private "credit estimates") could curtail growth.
5. Anthropic's Moody's-as-native-app (vs. SPGI as merely a connector) suggests Moody's may be winning the AI distribution battle within Claude.

**Catalysts to watch (next 6–12 months)**:

- **May 12, 2026**: Mobility Global Investor Day
- **Mid-2026**: Mobility spin-off completion + adjusted/GAAP guidance reset for "RemainCo" SPGI
- **Q3/Q4 2026**: Lapping of tough Ratings comparables (negative growth expected)
- **2H 2026/early 2027**: Closing of geoscience/petroleum engineering software divestiture from Energy
- Continued AI partnership announcements (Microsoft Copilot, Google, additional integrations)
- Resolution (or escalation) of state AG ESG inquiries
- **Insider buying signal**: CEO purchase at ~$430 establishes a floor of management conviction

**Bottom line**: SPGI offers a rare combination of high-quality compounding economics, structural moats that should withstand AI disruption (with the real concentration of risk in one segment), accelerating capital returns (≥100% of FCF in 2026), an upcoming value-unlocking spin-off, and a re-rated valuation roughly one full standard deviation below its 5-year median. The wide gap between bullish Wall Street consensus (~$550) and Morningstar's bearish $311 fair value frames the central debate: investors are essentially asked to underwrite whether AI is a margin-compressing existential threat to information-services franchises (Morningstar's view) or a productivity tailwind that data oligopolists like SPGI can capture (management and Street view). Given the diversified earnings base — where >65% of revenue comes from network-effect-protected Ratings/Indices/Platts and recurring contractual fees — the balance of evidence favors the bullish framing, with the AI-related sell-off providing an attractive entry point for long-term holders, particularly ahead of the Mobility spin-off catalyst.

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Sources: SEC EDGAR (10-K, 10-Q, 8-K filings, 2018–2026), S&P Global investor relations and

*Sources: SEC EDGAR (10-K, 10-Q, 8-K filings 2018–2026), S&P Global investor relations and Q1 2026 earnings release/supplemental disclosure (April 28, 2026), Morningstar equity research (March/April 2026), GuruFocus, StockAnalysis.com, MacroTrends, IIF Global Debt Monitor, ETFGI, PwC ETF Survey 2026, BlackRock and Preqin private-credit projections, FSB private credit report (May 2026), Bloomberg/Fortune/TechRadar coverage of Anthropic May 5, 2026 announcement, American Banker, PR Newswire releases on Mobility spin-off, S&P DJI Annual Survey of Assets, WatersTechnology on Spark Assist/Kensho, and Wall Street analyst price target compilations from TipRanks, MarketBeat, Zacks, and WallStreetZen.*